Mind over Matter

Investment Policy Statement (IPS)

Fund Overview

Fund Name: Mind over Matter Ltd.

Legal Structure:
Private company incorporated under the Isle of Man Companies Act 2006, operating as an Exempt Scheme or similar unregulated collective investment vehicle, limited to qualified friends-and-family investors (capped at 49 participants to maintain exempt/private status).

Registration Number:
023439V

Investment Manager:
Upkeep Partners Ltd.

Administrator:
Affinity (Affinity Isle of Man Limited / Affinity Group), providing corporate administration, fiduciary support, and related private wealth services in the Isle of Man.

Inception Date:
29-05-2026

Assets Under Management (AUM) Projections:
Initial AUM of 3-5 million with 5+ investors; targeted to grow to 30 million with 20-30 investors over 5 years.

Investor Profile:
Accredited friends-and-family investors seeking long-term capital appreciation.

Minimum investment:
€ 100.000,-

Investment Objectives:
The primary objective of the Fund is long-term capital growth, targeting an annualized net return of 10% after all fees and expenses over a 5–10+ year horizon. This will be pursued through a moderate-risk, diversified portfolio emphasizing equity investments with enhancements for yield and modest downside protection.

Return Target:
10% net annualized (implying gross returns of approximately 12–14% to cover estimated 1–2% total costs), measured from a EUR investor perspective.

Benchmark:

MSCI World.

Time Horizon:

Long-term (minimum 3–5 years recommended for investors to align with market cycles and strategy).

Risk Tolerance and Constraints

Risk Profile:

Moderate; the Fund accepts market volatility comparable to global equities (annualized standard deviation of 15–20%), with a target maximum drawdown of 20–25% during severe market corrections. The strategy avoids high speculation, excessive leverage, or illiquid assets.

Key Risks Considered:

Market risk, volatility from equities and commodities, options assignment risk, currency fluctuations (primarily unhedged USD exposure against a EUR investment and reporting base; this risk is borne by the Fund and its investors, partially mitigated through diversification into EU equities and, where appropriate, tactical FX hedging instruments), inflation, and liquidity constraints in small-cap positions.

Constraints:

Leverage is limited to a maximum 20% buffer within the cash-secured put collateral framework (see Options Strategy); no leverage is used elsewhere in the portfolio, and no uncovered (naked) call writing is permitted.

Liquidity:

The Fund invests primarily in liquid exchange-traded equities and ETFs. Most holdings are expected to be realisable within 3–5 business days under normal market conditions, although small-cap securities, REITs, or stressed markets may require longer.

Tax / Regulatory / Ethical:

Full compliance with Isle of Man regulations (no public promotion); investors responsible for personal tax implications. Investor admission is subject to AML/KYC screening and self-certification of investment knowledge and experience, as set out in the Subscription Agreement. CRS/FATCA reporting obligations are administered via Affinity. The Fund does not apply blanket exclusions to sectors such as defense or iGaming, recognizing their legitimate economic, strategic, and societal role (including EU defense priorities); instead, the Manager applies a qualitative conduct and governance screen when selecting holdings in sensitive sectors, drawing on direct sector expertise (including iGaming) to favor companies demonstrating ethical business practices and improving governance standards.

Investment Strategy and Asset Allocation

The Fund employs a core long-biased equity strategy with diversification into commodities and real estate, supplemented by a conservative options overlay for yield enhancement. Allocations are flexible within defined ranges to allow tactical adjustments based on market conditions, valuations, and economic outlook.

Target Asset Allocation Ranges.

Asset Class	Target Range	Description
Equities (Global/US/EU, primarily large-cap with some mid/small-cap)	60–80%	Core growth engine; focus on quality, value, and growth-oriented companies. 70–80% large-cap bias; 20–30% mid/small via individual stocks or ETFs. 40–60% US exposure, remainder global/developed markets.
Commodities (via ETFs)	0–15%	Inflation hedge and diversification (e.g., broad commodities, gold, energy).
REITs (direct or via ETFs)	0–15%	Income generation and real estate exposure (global/US focus).
Cash, Cash Equivalents & Treasury Bills	5–25%	Liquidity reserve for opportunities, redemptions, options collateral, and defensive positioning. May include bank deposits, money market funds, and short-dated sovereign Treasury bills, primarily US or UK, where tax treatment and liquidity are efficient.
Fixed Income / Bonds	0% unless specifically approved	The fund does not maintain a strategic bond allocation. Longer-duration government bonds, corporate bonds, high-yield credit, emerging-market debt, and bond funds require specific investment committee approval.
Options Overlay	Applied to 30–60% of equity/REIT holdings	Conservative strategies (covered calls and cash-secured puts) to generate 1–3% additional annualized yield.

- **Rebalancing**: Conducted quarterly, or upon allocations deviating from target ranges by more than 5–10%. Tactical shifts permitted (e.g., increase cash in overvalued markets). Deviations are monitored by the Board via quarterly reporting; deviations within 15–20% of target ranges may be tolerated subject to Board agreement on a defined remediation timeline and method, recorded in Board minutes. Deviations exceeding this threshold, or breaching the absolute target range boundaries by a material margin, require corrective action within six months, unless the Board agrees an extension is in investors' best interest, with rationale documented. Material breaches outside the normal quarterly cycle are escalated to the Board within 5 business days of identification. Material deviations and remediation status are summarized in quarterly investor reporting.
  Security Selection:
- **Equities**: 10-20 diversified holdings; criteria include strong fundamentals (earnings growth, balance sheet strength), reasonable valuations, and sector balance (no single sector >25–30%).
- **Commodities/REITs**: Primarily liquid ETFs for simplicity and cost efficiency.
  Position Sizing: Maximum 5–7% per position at cost; scale appropriately with AUM growth.

Options Strategy:

- **Covered Calls:** Sell out-of-the-money calls (3–10% OTM, 30–60 days) on core holdings for premium income.
- **Cash-Secured Puts:** Sell OTM puts (5–15% below spot) on desired underlying, backed by cash, cash-equivalent, and/or investment-grade bond collateral (minimum rating BBB-/Baa3, maximum remaining maturity of 5 years). Aggregate notional exposure from cash-secured put positions may exceed available collateral value by up to 20% (i.e., a maximum coverage ratio of 120% notional relative to 100% collateral), providing a limited leverage buffer to enhance capital efficiency. The collateral mix and coverage ratio are reviewed and rebalanced at minimum quarterly, with more frequent review in periods of elevated market volatility or credit stress. If the coverage ratio falls below 110%, new put writing is suspended and/or existing positions are rolled or closed to restore coverage, rather than left to discretionary judgment at the time.
- **Rules:** Delta <0.40; no naked options; target 0.5–1.5% premium per cycle; active management (roll/close as needed).

Risk Management

- **Portfolio Controls:** Monitor volatility (target 15–20%, consistent with the Fund's overall risk profile), drawdowns, and beta (aim for 0.8–1.0 relative to equities). Monthly risk assessments are conducted by the Manager as a standing output of the weekly shareholder review meetings (see Governance – Decision-Making); **Diversification:** Targeting a median of approximately 20 holdings, with a range of 10 (minimum) to 30 (maximum) across the portfolio, consistent with equity holding guidance under Security Selection; geographic exposure is governed by the Target Asset Allocation Ranges table above.
- **Hedging:** Downside mitigation is pursued primarily through options income generation as a return cushion, rather than direct hedging. The Manager assesses market conditions and the potential need for direct hedging, including protective puts or inverse ETFs, as part of the weekly shareholder review. In time-sensitive situations, the Manager may seek ad-hoc consultation and may act in the best interests of the Fund where consultation is not practicable within the required timeframe. Protective puts may also be used proactively as portfolio insurance where market conditions or portfolio positioning make this prudent.
- **Stop-Loss and Trailing Stop Orders:** The Manager may use stop-loss and trailing stop orders selectively to manage downside risk, protect gains, and support disciplined position management, taking into account liquidity, volatility, and execution risk.

Performance Measurement and Reporting

- **Performance Calculation:** Net of fees, time-weighted returns, calculated and reported by Affinity on a quarterly basis, providing independent verification separate from the Manager.

- **Reporting**: Quarterly investor statements, prepared by Affinity, including performance vs. benchmark (informational), holdings and allocation vs. target ranges, identified deviations and remediation status, options collateral coverage ratio, risk metrics, and market commentary. Annual financials prepared/administered in line with IOM requirements and Affinity services.
- **Review Process**: Annual IPS review initiated by the Manager; materiality of proposed amendments is determined by Board vote during the shareholder review meeting, with investor notification required for amendments deemed material.

Fees and Expenses

- **Fee Structure**: The Fund operates three share classes with management and performance fee rates scaled to investment size, all subject to the same 5% hurdle rate: Class A: 1.2% management fee / 17.5% performance fee; Class B: 1.1% management fee / 16.25% performance fee; Class C: 1.0% management fee / 15% performance fee. Class allocation is determined by investment size, with exceptions at the Board's discretion (e.g., for founding investors). All performance fees are subject to a per-investor high-water mark. Specific share class thresholds and an investor's applicable class are set out in the relevant Subscription Agreement and Fee Schedule.
- **Fee Payment**: Deducted from Fund assets. Management fees are deducted pro-rata based on each investor's AUM share; performance fees are deducted individually based on each investor's own high-water mark position.
- **Expenses**: Estimated 0.3–0.8% (e.g., administration via Affinity, custody/brokerage, transaction costs); total expense ratio targeted <2% to support net 10% objective.

Liquidity and Redemption Terms

- **Subscriptions**: Quarterly, with the option for monthly subscriptions subject to Board approval. Subscriptions outside the standard quarterly cycle are processed at a new NAV calculated by Affinity for that subscription date.
- **Redemptions**: Quarterly, with a minimum 30-day notice period. Redemptions within the first 12 months from an investor's original subscription date are subject to a 1% early redemption fee on the amount redeemed, retained by the Fund (not the Manager) to offset transaction and liquidity inefficiencies arising from early withdrawal. A gate may be activated by Board decision where aggregate redemption requests in a given quarter exceed 20% of AUM; in such cases, redemptions are satisfied pro rata up to that threshold, with the unfulfilled portion carried forward with priority to the following quarter. Affected investors are notified promptly upon gate activation, including the rationale and expected timeline for the carried-forward amount.

Governance and Amendments

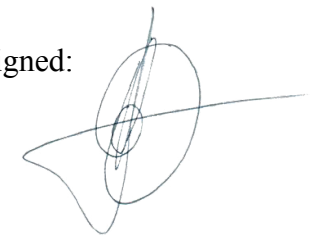
- **Decision-Making:** Investment decisions are made by the Manager, with discretion within IPS guidelines, subject to ongoing oversight through a minimum weekly review meeting with all voting shareholders (including the Manager, who is also a voting shareholder) covering positions, actions taken, and identified anomalies. Where a timely joint decision cannot be reached in time-sensitive situations, the Manager may act unilaterally, with retrospective reporting to shareholders within 48

hours. Certain decisions are reserved for Board approval, including: remediation timelines for material allocation deviations, approval of monthly (off-cycle) subscriptions, activation of redemption gates, and determination of materiality for proposed IPS amendments.

- **Conflicts of Interest**: Manager to disclose any potential conflicts (e.g., personal investments). The Manager, who is also a voting shareholder, participates in shareholder votes without restriction. Potential conflicts of interest (e.g., personal investments, related-party transactions) must be disclosed ahead of each official Board meeting. The Manager is required to disclose personal holdings in any security also held by the Fund. No further restrictions on personal trading apply, reflecting the limited scale of assets involved both personally and at Fund level. This approach is subject to review as part of the annual IPS review, particularly as Fund scale and investor base grow.
- **Amendments**: This IPS may be amended by the Manager, with materiality of proposed amendments determined by Board vote during the shareholder review meeting (see Review Process). Non-material amendments require prior notice to investors. Material amendments — those impacting investment objectives, risk profile, or fee structure — require a qualified majority (75%+) consent of voting shareholders before taking effect.
- **Termination**: The Fund may be wound up per the Isle of Man Companies Act 2006, subject to an 85% majority vote of voting shareholders. Upon termination, assets are distributed pro-rata based on each investor's NAV interest in the Fund at the time of liquidation.

This IPS is effective as of July 1st, 2026, and supersedes any prior guidelines.

Signed:





Dolf Hendrikx

Sjors F. Tromp

Date: 01-07-2026